

The wonder spread to other colonies; notes were issued in abundance, indeed with abandon. Rhode Island was an extreme case. There, as elsewhere, on the eventual days of reckoning, the notes became worthless or nearly so.

Not all the colonies, it should be said, succumbed; Pennsylvania, New York, New Jersey, Delaware, and Maryland exercised admirable restraint. And there is indication that the paper money, sustaining, as it did, prices and trade, contributed to general economic well-being where it was so used. This was certainly the view of Benjamin Franklin, who could have been influenced by being in business himself as a printer of the notes. Eventually, in 1751, the Parliament in London forbade the paper issues in New England and, a little later, elsewhere in the colonies.

There was sharp anger over this action; paper and its associated leverage remained strongly in the minds of the American colonists as an economic good. Nor should the use of paper be wholly condemned, although many historians have done so. Washington's soldiers were paid in Continental notes; by these the Revolution was financed. Tax receipts were then negligible, as was the machinery for tax collection. The cost of the war was thus borne by those who, receiving the so-called Continentals, found their buying power quickly and irrevocably diminishing. Thus was American independence purchased, and it is not clear that it could have been bought in any other way. The stage was now set for recurrent speculative episodes in the new republic.

Influenced initially by the still-fresh memory of the inflation brought about by the Continental currency, the hugely available supply of paper chasing a necessarily limited supply of goods—shoes in Virginia at \$5,000 a pair, more than \$1,000,000 for a full outfit of clothing—the new country's financial policy was conservative. The Constitution forbade the federal government and, needless to say, also the states to issue paper money. Business would be done with gold and silver and bank notes redeemable in metal. A central bank, the First Bank of the United States, was created to enforce discipline on the small scattering of state-chartered banks by refusing to accept the notes of those that did not pay out in specie on demand. The by-now conservative Northeast approved this action; the new and financially more needful South and West most certainly did not.